22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of March 31, 2021 to be effective for the year ended December 31, 2021 is 26.8%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three-month periods ended March 31, 2021 and 2020 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won, thousands of number of shares)	**2021**	**2020**
Profit for the period attributable to owners of the parent company	7,092,786	4,889,599
Profit for the period available for ordinary shares	6,233,542	4,297,257
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,044	720

(2) Preference shares

(In millions of Korean won, thousands of number of shares)	**2021**	**2020**
Profit for the period attributable to owners of the parent company	7,092,786	4,889,599
Profit for the period available for preference shares	859,244	592,342
Weighted-average number of preference shares outstanding	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,044	720

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three-month periods ended March 31, 2021 and 2020.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the three-month periods ended March 31, 2021 and 2020 are as follows:

- Adjustments

(In millions of Korean won)	**2021**	**2020**
Adjustments:		
Income tax expense	2,608,960	1,871,926
Financial income	(1,218,970)	(2,117,124)
Financial expenses	866,497	1,725,650
Post-employment benefits	339,184	305,463
Depreciation	7,147,736	6,591,167
Amortization	695,542	814,438
Bad debt expenses (reversal)	(3,356)	26,524
Dividend income	(8,734)	(36,029)
Share of profit of associates and joint ventures	(147,519)	(60,644)
Gain on disposal of property, plant and equipment	(75,471)	(35,385)
Loss on disposal of property, plant and equipment	9,842	9,166
Loss on valuation of inventories	578,786	338,707
Others	91,359	41,307
Total	10,883,856	9,475,166

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2021**	**2020**
Changes in assets and liabilities :		
Increase in trade receivables	(2,105,232)	(415,809)
Decrease (increase) in non-trade receivables	(36,668)	852,573
Increase in prepaid expenses	(367,337)	(394,549)
Decrease (increase) in inventories	1,205,901	(1,763,793)
Increase in trade payables	254,272	1,062,153
Increase in other payables	473,480	110,517
Decrease in advances received	(11,851)	(127,657)
Increase (decrease) in withholdings	20,122	(51,497)
Decrease in accrued expenses	(2,200,255)	(1,036,733)
Increase in provisions	72,707	596,520
Payment of post-employment benefits	(118,436)	(254,411)
Other	(521,371)	(930,199)
Total	(3,334,668)	(2,352,885)

For the three-month periods ended March 31, 2021 and 2020, cash outflows from principal repayment (financial activities) amount to ₩ 193,240 million and ₩ 203,467 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 25,835 million and ₩ 28,609 million, respectively.